

Karnataka Board 2020

Grade 12

ECONOMICS

PART – A

Time: 3 Hours 15 Minutes

Max. Marks: 100

I. Choose the correct answer:

1×5=5

1. Which of the following is an example of micro economic study?

- a) National income
- b) Consumer Behaviour
- c) Unemployment
- d) Foreign trade

2. The change in output per unit of the change in the input is called

- a) Marginal product
- b) Average Product
- c) Total product
- d) Product

3. When the supply curve is vertical, the elasticity of supply is

- a) $es=1$
- b) $es=1$
- c) $es=0$
- d) $ex=\infty$

4. In 1936 British economist J.M.Keynes published his celebrated book

- a) Wealth of Nations
- b) Theory of interest
- c) General theory of employment, interest and Money.

d) Theory of employment

5. Value of MPC lies between

- a) 1 and 2
- b) 0 and 1
- c) 2 and 4
- d) 0 and 0.5

II. Fill in the blanks

1×5=5

6. In a centrally planned economy all important decisions are made by

7. It is assumed that, in a perfectly competitive market an is at play.

8. The net contribution made by a firm is called its.....

9. Non paying users of public goods are known as

10. The Bretton Woods conference held in the year

III. Match the following

1×5=5

A	B
a) Possibility of supernormal profit	iv) Attraction of new firm
b) Inventory	v) Stock variable
c) M3 and M4	i) Broad Money
d) Savings	iii) $Y - C$
e) SDR	ii) Paper gold

IV. Answer the following questions in a sentence / word. **1×5=5**

12. What do you mean cardinal utility analysis?

13. Give the meaning of oligopoly market.

14. Who are economic agents?
15. Expand FRBMA
16. Give the meaning of managed floating.

PART - B

V. Answer any nine of the following questions in four sentences each. **2×9=18**

17. What are the differences between budget line and budget set?
18. State the law of demand?
19. Mention the types of returns to scale.
20. Write the meaning of opportunity cost with an example.
21. Define equilibrium price and quantity.
22. How wage is determined in the labour market?
23. Distinguish between stock and flow. Give example.
24. What do you mean by externalities? Mention its two types.
25. Mention the two motives of demand for money.
26. Give the meaning of investment multiplier. Write its formula.
27. Give the meaning of paradox of thrift.
28. Mention the three linkages of open economy.
29. Mention the types of balance of trade
30. Why do people demand foreign exchange?

PART - C

VI. Answer any seven of the following in fifteen sentences each. **4×7=28**

31. Briefly explain the production possibility frontier.
32. Write the differences between substitutes and complements.
33. Explain isoquant with the help of a diagram.
34. Explain the determinants of a firm's supply curve.
35. Write a note on price ceiling
36. Briefly explain the monopolistic competitive market..

37. Explain the role of the Government (State) and household sector in both developed and developing countries.
38. Illustrate unplanned accumulation and decumulation with an example
39. Briefly explain the functions of RBI.
40. Briefly explain consumption function.
41. Write the chart of components of capital account.

PART -D**6×4=24**

VII. Answer any four of the following questions in 20 sentences each.

42. Explain the features of Indifference curves with the help of diagrams.
43. The market demand curve for a commodity and the total cost for a monopoly firm producing the commodity is given by the schedule below. Use the information to calculate the following
 - a) The MR and MC schedules
 - b) The quantity for which the MR and MC are equal
 - c) The equilibrium quantity of output and equilibrium price of the commodity
 - d) The total revenue, Total Cost, and Total profit in equilibrium
44. Explain market supply curve with the help of a diagram.
45. Explain the macroeconomic identities.
46. Write the story of gold smith Lala on the process of deposit and loan (credit) creation by commercial banks.
47. Explain the classification of expenditure.
48. Write a short note on the gold standard.

PART - E

VIII. Answer any two of the following project-oriented questions.

49. A consumer wants to consume two goods. The Price of bananas is Rs.10. The consumer income is Rs.40.

5×2=10

- How much bananas can she consume if she spend her entire income on that good
- How much mangoes can she consume if she spend her entire income on that good
- Is the slope of budget line is downward or upward
- Are the bundles on the budget line equal to the consumers' income or not
- If you want to have more of banana you have to give up mangoes. Is it true?

50. Find the missing products of the following table.

Factor 1	TP	MP ₁	AP ₁
0	0	0	0
1	10	-	10
2	24	-	12
3	40	16	13.33
4	-	10	-
5	-	6	11.2
6	57	1	9.5

51. Prepare a budget on monthly income and expenditure of your family.